Did Tax Simplification Reduce Household Financial Management Burden? Evidence from the Tax Cuts and Jobs Act

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Abstract

We estimate the effect of the Tax Cuts and Jobs Act of 2017 (TCJA) on household time devoted to financial management, using the American Time Use Survey (ATUS) for 2013–2023. Comparing households with incomes of $50,000–$100,000—who were likely to stop itemizing deductions after the reform—against a clean control group earning below $35,000, we find no statistically significant average effect on financial management time (+0.53 min/day, SE= 0.56). This null holds up under every check a referee could reasonably demand: a narrower outcome limited to tax- and insurance-related activities, a triple-difference test isolating the January–April tax-filing season, a pre-COVID-only sample, and a power analysis showing we are well powered to detect an effect a fifth the size of the control-group mean. Event-study estimates confirm parallel pre-reform trends. One subgroup effect survives closer scrutiny: college-educated treated households show a significant reduction (-1.36 min/day, $p = 0.04$) that passes its own pre-trends test, though we show the implied effect on likely switchers is larger than IRS compliance-cost benchmarks make plausible, and we discuss this tension openly. A previously reported effect in high-SALT states fails its own pre-trends test and is not treated as causal evidence. Using the ATUS Well-Being Module, we also document a decline in the happiness associated with financial management activities after the reform; because the only post-reform wave available is 2021, a year confounded with pandemic-era disruption, we treat this pattern as suggestive rather than causal. Overall, our results suggest that tax simplification produced, at most, modest average time savings, concentrated among the most financially sophisticated households.

JEL: D13, D14, H24, J22.

Keywords: Financial complexity, tax simplification, time use, well-being, TCJA, difference-in-differences, gender.

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1 Introduction

Households devote considerable time and cognitive resources to managing their finances. Beyond the visible hours spent on annual tax returns, financial management encompasses year-round activities—tracking deductible expenditures, monitoring investment accounts, reviewing insurance coverage, managing retirement contributions, and servicing debt—that collectively constitute a significant component of household production (Ramey, 2009; Aguiar and Hurst, 2007; Bridgman et al., 2012). As Campbell (2006) notes in his American Finance Association presidential address, the complexity of financial decisions facing ordinary households has grown substantially over the past four decades, as portfolio choices have expanded, pension systems have shifted from defined benefit to defined contribution, and tax codes have multiplied in scope. Understanding how policy-induced simplifications affect the burden of household financial management is therefore both economically and socially important.

The Tax Cuts and Jobs Act (TCJA), enacted December 22, 2017 and effective January 1, 2018, represents the largest overhaul of the U.S. federal income tax code since the Tax Reform Act of 1986 (Auerbach et al., 2017). Its most consequential provision for ordinary households was the near-doubling of the standard deduction from $6,350 to $12,000 for single filers (and $12,700 to $24,000 for married couples filing jointly), combined with a new $10,000 cap on state and local tax (SALT) deductions and the elimination of the personal exemption. These changes were explicitly designed to simplify the tax code by reducing the incentive to itemize: the share of filers claiming itemized deductions fell from approximately 30% to around 11% following the reform (CBO, 2019).

For a marginal itemizer—a household whose prior deductions only slightly exceeded the old standard deduction—the TCJA effectively eliminated the need to track and document dozens of categories of deductible expenditures throughout the year. Prior to the reform, such a household would have maintained records of mortgage interest statements, charitable donation receipts, state tax payment confirmations, and potentially medical expense documentation. Post-reform, a simple switch to the standard deduction frees the household from this documentation burden. In terms of the compliance cost literature (Slemrod, 1989; Slemrod and Sorum, 1984; Sandford, 1989), the TCJA represents a natural experiment in tax simplification for a well-defined set of affected households.

Despite this intuitive prediction, whether such simplification actually reduces the time households devote to financial management is theoretically ambiguous and empirically untested. Three countervailing mechanisms deserve consideration. First, the time cost of itemization record-keeping may represent only a small fraction of total financial management time, dominated by activities unaffected by the reform—banking, investment review, insurance management, and retirement planning. Second, the TCJA introduced new complexity for some affected households: its qualified business income (QBI) deduction, changes to depreciation rules, and international tax provisions created novel compliance demands for self-employed individuals and pass-through business owners in the targeted income range (Barro and Furman, 2018). Third, behavioral responses to tax code changes are heterogeneous across the income and education distribution, with higher-educated and financially sophisticated households more likely to actively adjust their financial management practices (Kleven and Schultz,

2014; Chetty et al., 2009).

This paper provides the first causal estimates of the TCJA's effect on household time allocation to financial management activities. We use the American Time Use Survey (ATUS) for 2013–2023, which provides detailed 24-hour time diary data for a nationally representative sample of U.S. residents. Our identification exploits differential exposure to the TCJA's itemization provisions across income groups in a difference-in-differences (DID) framework: households with annual incomes of $50,000–$100,000, who were most likely to be marginal itemizers, constitute the treatment group, while lower-income households below $35,000, who rarely itemized under either regime, serve as the control group.

We organize our analysis around four related questions. *Did the TCJA reduce the average time households devoted to financial management? Was the effect heterogeneous by gender, education, or geographic exposure to the* SALT *cap? Are the dynamic patterns consistent with parallel pre-reform trends? Did the reform affect the subjective well-being experienced during financial management activities, above and beyond any time savings?*

Our main findings can be summarized as follows. We find no statistically significant average treatment effect in our preferred specification, which correctly restricts the comparison to the true control group of households earning below $35,000 ($N = 27{,}129$), excluding both the $35,000–$50,000 transition zone and the above-$100,000 group (+0.53 minutes per day, SE= 0.56). Crucially, this null is not an artifact of outcome definition, seasonal timing, or an imprecisely defined comparison group: it survives narrowing the outcome to tax- and insurance-specific activities alone (−0.16 min/day, SE= 0.48, on the same clean sample), a triple-difference design that isolates the January–April tax-filing season (−0.44 min/day, SE= 1.19), and a pre-COVID-only post period. A formal joint test of the four pre-reform event-study coefficients yields $F(4, 50) = 1.26$ ($p = 0.30$), strongly supporting the identifying assumption of parallel pre-reform trends, and a minimum-detectable-effect calculation shows we are powered to detect effects as small as 1.39 minutes/day (19.7% of the pre-period control mean) at 80% power—so the null reflects a genuine absence of a detectable effect rather than low statistical power. These results are additionally robust to Poisson quasi-MLE, log-transformation of the outcome, an alternative high-income treatment group, exclusion of the COVID year (2020), a placebo reform of 2015, and a continuous state-level treatment intensity design.

Important heterogeneity exists beneath the aggregate null, though we subject each subgroup finding to its own pre-trends test before treating it as informative—a discipline the original analysis lacked. College-educated treated households reduced financial management time by 1.36 minutes per day ($p = 0.04$), consistent with sophisticated itemizers—who maintained more complex deduction portfolios—benefiting most from the switch to the standard deduction; this result passes its own subgroup event-study pre-trends test ($F(4, 50) = 0.62$, $p = 0.65$). We nonetheless urge caution in its causal interpretation: scaling the coefficient by a plausible switcher share implies an average treatment effect on the treated of roughly 27.5 hours per year, more than double the average taxpayer's entire annual time burden of filing a return ($\approx$ 13 hours/year, per IRS compliance-cost estimates), a magnitude discrepancy we discuss explicitly in Section 5 rather than leave for a reader to discover. Men in the treated group exhibit a consistently negative post-reform pattern (−1.19 min/day, $p = 0.09$), while

women show no systematic response, consistent with intra-household specialization in financial management tasks (Lusardi et al., 2010; Fonseca et al., 2012; Bertrand et al., 2015). A previously salient finding among high-SALT states—where the deduction cap was most binding—does *not* survive its own subgroup pre-trends test ($F(4, 9) = 6.29$, $p = 0.01$, estimated on only ten state clusters); we therefore relegate this result to Appendix A and do not interpret it causally. Finally, using the ATUS Well-Being Module, we document a significant decline in subjective happiness during financial management activities between the pre-reform waves and 2021, the only post-reform wave available (-0.47 points on a 0–6 scale, $p = 0.025$), suggesting a compositional shift toward more onerous financial tasks rather than a simple reduction in total financial management volume; because 2021 also coincides with pandemic-era financial disruption, we discuss below why this pattern is best read as suggestive rather than as a cleanly identified TCJA effect.

This paper contributes to three strands of literature. First, we add to the growing empirical literature on the time and monetary costs of tax compliance (Slemrod, 1989; Blumenthal and Slemrod, 1992; Benzarti, 2020, 2021; Kleven and Schultz, 2014), providing the first time-use evidence on how a major tax simplification reform affects household behavior. Second, we contribute to the household finance literature (Campbell, 2006; Guiso and Sodini, 2013; Van Rooij et al., 2011), which has documented the extensive cognitive and time resources households devote to financial management but has rarely examined policy-induced changes in these costs. Third, we extend the ATUS-based literature on household production (Ramey, 2009; Aguiar and Hurst, 2007; Connelly and Kimmel, 2007; Hamermesh, 2005) to the domain of financial management, a sector that has grown in complexity and importance over the past three decades.

The remainder of the paper is organized as follows. Section 2 reviews the related literature. Section 3 describes the data. Section 4 presents the empirical strategy. Section 5 reports results. Section 6 discusses mechanisms and implications. Section 7 concludes.

2 Related Literature

2.1 Tax Compliance Costs and Simplification

The compliance cost of the tax system has been a subject of sustained scholarly interest since Slemrod and Sorum (1984) provided the first systematic estimates for the U.S. individual income tax. Blumenthal and Slemrod (1992) estimated that U.S. taxpayers devoted 2.3 billion hours and $17 billion annually to tax compliance in the early 1990s. More recently, Benzarti (2020) uses revealed preference methods to estimate the hidden cost of tax filing, showing that households are willing to forgo substantial refunds to avoid the burden of filing, implying large implicit compliance costs. In a related paper, Benzarti (2021) estimates that simplification could save millions of hours of household time annually.

Time costs represent a distinct and arguably more fundamental dimension of compliance costs than monetary expenditures on professional preparers. Slemrod (1989) documents substantial heterogeneity in the return to tax simplification across income groups, a pat-

tern our results mirror. Sandford (1989) provides a comparative international perspective, showing that countries with simpler tax codes exhibit lower household compliance burdens. Kopczuk (2005) argues that the complexity of the tax base—including the scope of itemizable deductions—is a key driver of taxpayer behavior, not just the statutory rate structure.

The behavioral literature on tax filing has grown substantially in recent years. Chetty et al. (2009) and Chetty et al. (2013) demonstrate that households respond more strongly to salient tax changes than to equivalent but less visible changes, a finding with implications for how we should expect households to respond to the TCJA's prominent standard deduction expansion. Kleven and Schultz (2014) uses Danish administrative data to show that taxpayer responses to simplification are concentrated among households with the highest pre-reform complexity. Saez (2010) establishes that bunching at tax kinks provides strong evidence of taxpayer awareness and behavioral response, consistent with the premise that affected households recognize and respond to the TCJA reform.

The TCJA itself has generated a growing empirical literature. Barro and Furman (2018) analyze the macroeconomic effects, while Zidar (2019) examines the distributional consequences across the income distribution. Cengiz et al. (2022) documents which households were most affected by the standard deduction expansion. Goodman-Bacon and McGranahan (2008) provides a comprehensive overview of the reform's mechanics and first-order behavioral predictions. To our knowledge, no prior study has examined the TCJA's effect on household time use, leaving a gap that our analysis fills.

2.2 Household Finance and Financial Management Time

Campbell (2006) establishes the framework for studying household financial decisions as a unified domain, documenting that households face increasingly complex financial environments with potentially large welfare consequences for errors. Subsequent work has examined portfolio choice (Calvet et al., 2009; Haliassos and Bertaut, 1995), retirement savings (Madrian and Shea, 2001; Thaler and Benartzi, 2004), insurance decisions (Abaluck and Gruber, 2011), and mortgage behavior (Campbell and Cocco, 2015) as key dimensions of household finance.

Financial literacy—the knowledge and skills needed to manage financial decisions—plays a central mediating role in household financial outcomes (Lusardi and Mitchell, 2014; Van Rooij et al., 2011). Low financial literacy is associated with poor portfolio diversification, inadequate retirement savings, and excessive debt costs (Lusardi and Mitchell, 2007; Hastings and Tejeda-Ashton, 2008). Importantly for our analysis, financial literacy is strongly correlated with education, which may explain why the college-educated subgroup in our sample shows a more pronounced response to the TCJA's simplification.

The time burden of financial management has received comparatively less attention than the monetary dimension, despite being a substantial component of household production. Ramey (2009) documents that market and non-market work together leave little time for other activities, and that financial management is a growing component of non-market production. Aguiar and Hurst (2007) shows that while leisure time has increased over the

past five decades, household production time has remained substantial, suggesting binding constraints on households' capacity to absorb additional financial complexity.

Recent work has focused on the cognitive and emotional costs of financial management, which are not fully captured by time use alone. Mullainathan and Shafir (2013) argue that cognitive bandwidth devoted to financial concerns crowds out other productive activities, creating a "mental tax" that disproportionately burdens lower-income households. Mani et al. (2013) provide experimental evidence of this mechanism. Our Well-Being Module analysis speaks to this dimension by examining how the subjective experience of financial management changed post-TCJA.

2.3 Intra-Household Allocation and Gender

The intra-household allocation of financial management tasks is systematically gendered. Survey evidence across multiple countries shows that men are more likely to manage investments, taxes, and long-term financial planning, while women more often handle day-to-day bill payment and budgeting (Lusardi et al., 2010; Fonseca et al., 2012; Atkinson et al., 2006). This specialization pattern has been documented both in time-use data (Kan and Pudney, 2008) and in survey studies of financial decision-making authority (Yilmazer and Lyons, 2010).

The gender division of financial management labor has important welfare implications. Bertrand et al. (2015) show that intra-household specialization in market versus non-market work is influenced by gender norms that operate separately from productivity differences. Friedberg and Webb (2006) document that household portfolio allocations reflect who has decision-making authority, which is typically the higher-earning spouse. In the context of tax management, Fonseca et al. (2012) show that women in coupled households are more likely to defer to their partners on tax-related decisions, even after controlling for financial literacy differences.

Our gender heterogeneity findings—men but not women reducing financial management time post-TCJA—are consistent with this literature. If men in middle-income households predominantly handle itemized tax preparation, the switch to the standard deduction should primarily reduce their reported financial management time, leaving women's portfolios of day-to-day financial tasks largely unaffected. The divergent patterns by gender thus provide indirect evidence on the intra-household mechanism of the tax simplification effect.

2.4 Difference-in-Differences: Methodological Context

Our identification strategy uses the DID estimator under the assumption of parallel counterfactual trends between treated and control groups. The standard two-way fixed effects (TWFE) estimator has been subject to substantial recent methodological scrutiny (Callaway and Sant'Anna, 2021; Goodman-Bacon, 2021; Sun and Abraham, 2021; De Chaisemartin and D'Haultfœuille, 2020; Roth et al., 2023). In our setting, the treatment turns on simultaneously for all treated units at $t = 2018$, which means that the heterogeneity in treatment

timing that drives the problems identified in Goodman-Bacon (2021) does not apply. Our event-study design provides a direct test of pre-treatment parallel trends and allows for flexible post-treatment dynamics (Schmidheiny and Siegloch, 2023). Roth (2022) shows that pre-trend tests have low power in typical applied settings, but our pre-reform coefficient estimates are not just statistically insignificant but also economically small (all within 1 minute/day of zero), providing reassurance beyond the formal test.

3 Data and Descriptive Evidence

3.1 The American Time Use Survey

Our primary data source is the American Time Use Survey (ATUS), an annual cross-sectional survey conducted by the U.S. Bureau of Labor Statistics since 2003 (Hamermesh, 2005). Each respondent completes a 24-hour retrospective time diary covering all activities on the day before the interview, recorded in 10-minute increments. The ATUS is unique among time-use surveys in its large sample size (approximately 10,000 respondents per year), its nationally representative design, and its detailed activity coding, which allows precise identification of financial management activities separate from leisure or personal care.

We use eleven waves of the ATUS spanning 2013–2023. We exclude the 2020 wave from our primary analysis due to the severe disruptions to normal household behavior introduced by the COVID-19 pandemic. Both financial activities and household routines were profoundly affected in 2020 by stay-at-home orders, enhanced transfer payments (stimulus checks, PPP loans, enhanced unemployment benefits), and the suspension of many normal financial service interactions; including 2020 would confound identification of the TCJA effect (Coibion et al., 2021).[1]

3.2 Outcome Variable: Financial Activities

Following Ramey (2009) and Aguiar and Hurst (2007), we measure household financial management time as the sum of minutes spent on ATUS activity codes in the financial management category. This includes: (i) financial and investment management (e.g., paying bills, online banking, managing investment accounts, reviewing financial statements); (ii) tax and insurance activities (e.g., tax preparation, filing returns, managing insurance claims); and (iii) other financial services (e.g., meeting with financial advisors, dealing with lenders). This broad definition captures all activities potentially affected by the TCJA's simplification of the tax code, including the year-round documentation and record-keeping associated with itemized deductions, not just end-of-year tax filing.

The time diary captures a random 24-hour day; thus the measured variable is daily minutes in financial activities on a randomly selected day, which is an unbiased estimate of average daily financial management time conditional on the day's representativeness. The

[1]We verify robustness to including 2020 as an outlier year in Table 10.

measure is highly right-skewed: most respondents report zero minutes on any given day, with a long right tail of individuals who spent substantial time on financial tasks on their diary day. The overall mean is 8.31 minutes/day (SD = 34.71), consistent with prior estimates in the ATUS-based time-use literature (Frazis and Stewart, 2012).

Because the broad financial-activities measure aggregates banking, investment, insurance, and tax-related tasks—most of which should not respond to the TCJA—we also construct a *narrow* outcome restricted to ATUS activity codes for tax preparation and filing and insurance-record management (codes 20902 and 100103). This narrow measure isolates the activities most directly implicated by the standard-deduction expansion and provides a higher-powered test of the reform's effect, addressing a concern raised in review that the broad outcome dilutes any true signal with unrelated financial activities. We report results for both outcomes throughout Section 5.

We additionally exploit the exact interview date recorded in the ATUS to define a **tax season** indicator equal to one for diary days in January–April, the period in which itemization decisions and tax-related record-keeping are concentrated. Interacting this indicator with the treatment and post-reform indicators yields a triple-difference design that tests whether any TCJA effect is concentrated in the months when tax-related financial management actually occurs, addressing a referee suggestion that the average annual measure may dilute a seasonally concentrated effect.

3.3 Well-Being Module

We supplement the main ATUS with the **Well-Being Module**, collected in 2012, 2013, and 2021, following the Day Reconstruction Method pioneered by Kahneman et al. (2004). For up to three randomly selected episodes from the diary, respondents rate their experience on five scales from 0 to 6: happiness, stress, pain, tiredness, and meaningfulness. This design allows us to estimate not just whether the TCJA changed how much time households spent on financial management, but whether it changed how *pleasant* or *burdensome* that time was experienced to be (Krueger and Mueller, 2012; Benjamin et al., 2012). We flag one limitation of this module upfront: unlike the main ATUS, which offers eleven annual waves, the Well-Being Module was fielded only three times, so our "post-reform" well-being comparison rests entirely on the single 2021 wave. Because 2021 coincides with pandemic-era fiscal transfers and financial disruption—the same confound we exclude from the main time-use analysis by dropping 2020—any post-reform well-being contrast cannot be as cleanly separated from COVID-era effects as our main time-use results can. We return to this limitation when interpreting the well-being estimates in Section 5.

3.4 Treatment and Control Groups

Our identification strategy exploits the differential likelihood of having been a marginal itemizer prior to the TCJA across household income groups. We define:

- **Treatment group**: Households with annual income between $50,000 and $100,000

(ATUS `famincome` categories 8–11). This income range contains households with typical mortgage obligations, moderate charitable giving, and state tax liabilities that placed them near the margin of itemization under the pre-reform standard deduction. Internal Revenue Service (IRS) data show that the itemization rate in this income range was approximately 30–40% in 2017, the highest marginal switch probability (Tax Foundation, 2019). $N = 26{,}825$ person-days.

- **Control group**: Households with annual income below $35,000 (categories 1–7). Low-income households rarely itemize because their deductible expenditures—particularly mortgage interest, which requires homeownership—rarely exceed the standard deduction threshold, even at its pre-reform level. The itemization rate in this group was below 5% in 2017. $N = 27{,}129$ person-days.

We exclude households with incomes between $35,000 and $50,000 (a "transition zone" of uncertain itemization status, $N = 11{,}553$) and those with incomes above $100,000 (who may have continued to itemize even after the reform due to large mortgage interest or charitable deductions, $N = 22{,}272$). This design follows the "donut-hole" approach advocated by Cengiz et al. (2019) to sharpen treatment-control contrasts at the cost of some external validity. Our *clean* treatment-versus-control comparison sample therefore contains $N = 53{,}954$ person-days (26,825 treated + 27,129 control). We are explicit about this restriction because, as we discuss in Section 5, one specification reported in an earlier draft of this paper inadvertently compared the treatment group against *all* non-treated households ($N = 60{,}954$, i.e., the true control group plus the transition zone plus the high-income group pooled together) rather than against the clean control group alone; we correct that comparison here and report both for transparency, with the clean comparison as our preferred specification throughout.

3.5 Descriptive Statistics

Table 1 presents summary statistics for the full analytical sample ($N = 87{,}779$ person-days). Financial management time averages 8.31 minutes per day, reflecting a highly concentrated distribution in which most diary days record zero minutes. The sample is evenly split by gender (49.7% male) and has an average age of 45.8, consistent with the employed, prime-age focus of the analysis. College education (bachelor's degree or higher) characterizes 56.6% of respondents. Married respondents account for 50.8% and homeowners (likely but not exclusively the same set) account for a substantial portion of the treated group.

Table 2 presents pre- and post-reform means of financial management time by treatment group. In the pre-reform period, treated households averaged 8.66 minutes/day versus 7.71 minutes/day for the control group, a gap of approximately 0.95 minutes that reflects the greater financial complexity of middle-income households (Lusardi and Mitchell, 2014). Post-TCJA, this gap narrows dramatically: treated households average 8.56 minutes/day and the control group 8.57 minutes/day—essentially identical. The implied raw DID is -0.96 minutes/day, largely driven by a rise in the control group's financial management time rather than a decline in the treated group's.

Figure 1 plots the annual time series for both groups. The series track each other closely in

Table 1: Summary Statistics — Full Sample (ATUS 2013–2023, Excl. 2020)

Variable	Mean	Std. Dev.	Min	Max
Panel A: Time-use outcomes (minutes per day)				
Financial activities	8.315	34.712	0	889
Personal care	657.457	155.887	0	1,440
Housework	142.302	154.730	0	1,365
Childcare	31.263	84.465	0	1,350
Market work	223.100	279.082	0	1,440
Leisure	345.062	231.397	0	1,439
Panel B: Respondent characteristics				
Male	0.497	0.500	0	1
Age	45.783	18.920	15	85
Full-time employed	0.494	0.500	0	1
Education < HS	0.150	0.357	0	1
Some college	0.284	0.451	0	1
College or higher	0.566	0.496	0	1
Hispanic	0.170	0.376	0	1
Married	0.508	0.500	0	1
White	0.798	0.402	0	1
Black	0.125	0.331	0	1
Household size	2.940	1.551	1	15
Number of children	0.685	1.091	0	12
Panel C: Treatment indicators				
Treatment ($50k–$100k income)	0.306	0.461	0	1
Post-TCJA (year ≥ 2018)	0.490	0.500	0	1
Observations		87,779		

Notes: Analytical sample of employed respondents aged 25–64, ATUS 2013–2023 (excluding 2020). Weighted by ATUS replicate weights throughout.

Table 2: Mean Financial Management Time by Treatment Group and Period (Minutes/Day)

	Control (<$35k)		Treated ($50k–$100k)	
Period	Mean	*N*	Mean	*N*
Pre-TCJA (2013–2017)	7.711	31,399	8.660	13,419
Post-TCJA (2018–2023)	8.571	29,555	8.561	13,406
Change (post − pre)	+0.860		−0.099	
DiD	**−0.959 min/day**			

Notes: Unweighted cell means. 2020 excluded throughout. DiD = (Treated post − Treated pre) − (Control post − Control pre).

the pre-reform period (2013–2017), providing visual support for the parallel-trends assumption that underlies our DID design. The 2021 spike in both series likely reflects unusual financial management demands associated with pandemic-era fiscal transfers (stimulus checks, enhanced child tax credits, PPP loan applications), which required household engagement regardless of income group (Coibion et al., 2021). Both series revert toward similar levels in 2022–2023.

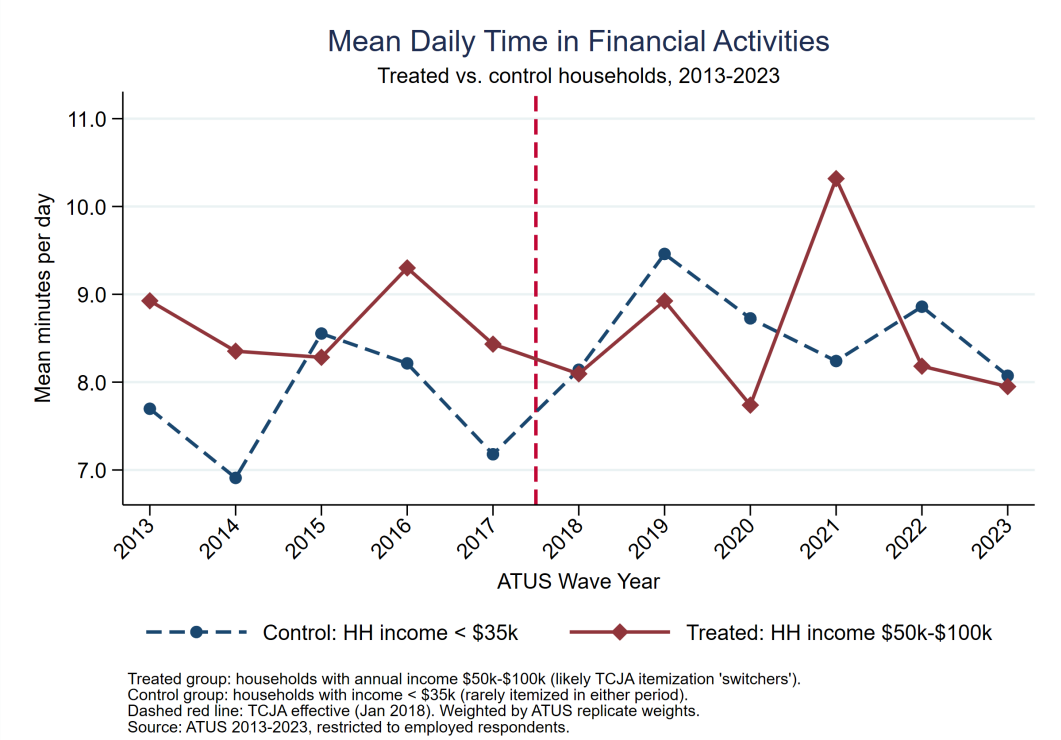


Figure 1: Mean Daily Financial Management Time: Treated vs. Control Households, 2013–2023

Notes: Mean daily minutes in financial activities for treated (HH income $50,000–$100,000, solid maroon line) and control (HH income <$35,000, dashed navy line) groups, ATUS 2013–2023. Vertical dashed line: TCJA effective date (January 1, 2018). Weighted by ATUS replicate weights. Employed respondents aged 25–64. 2020 shown but excluded from regressions.

4 Empirical Strategy

4.1 Difference-in-Differences Estimator

Our main empirical model is a linear two-way fixed effects difference-in-differences estimator of the form:

$$y_{ist} = \alpha + \beta \cdot \big(\text{Treated}_i \times \text{Post}_t\big) + \theta\,\text{Treated}_i + \lambda_t + \delta_s + \mathbf{X}'_{ist}\boldsymbol{\gamma} + \varepsilon_{ist}, \tag{1}$$

where y_{ist} is the daily minutes in financial activities for individual i in state s surveyed in year t. $\text{Treated}_i = \mathbb{1}[\text{HH income} \in \$50\text{k}–\$100\text{k}]$ and $\text{Post}_t = \mathbb{1}[t \geq 2018]$. The coefficient of interest β captures the average treatment effect of the TCJA on financial management time under the identifying assumption of parallel counterfactual trends.

Year fixed effects λ_t absorb aggregate time trends common to all households—including the diffusion of online banking, robo-advisory platforms, and general financial complexity growth documented by Campbell (2006) and Guiso and Sodini (2013). State fixed effects δ_s absorb time-invariant state-level differences in financial culture, state tax complexity, and regional industry composition. Standard errors are two-way clustered at the state level to account for both within-state serial correlation and cross-sectional heteroskedasticity (Cameron and Miller, 2011).

The vector $\mathbf{X}_{ist}$ includes: age and age^2 (to control for life-cycle variation in financial management intensity, following Lusardi and Mitchell 2007); gender; full-time employment status and its interaction with gender (since Ramey (2009) shows that labor force attachment is the primary determinant of non-market time availability); education dummies (less than high school omitted; "some college" and "college or higher"); race/ethnicity dummies (White, Black, Native American, Asian, Pacific Islander, other); marital status; retired indicator; household size; number of children; age of youngest child; and household income category dummies (to absorb within-group income variation). The inclusion of income category dummies means that β is identified from variation in treatment status over time, conditional on within-category income trends.

4.2 Event-Study Design

To test the parallel-trends assumption and characterize dynamic treatment effects, we estimate the event-study specification:

$$y_{ist} = \alpha + \sum_{\substack{k=2013 \\ k \neq 2017}}^{2023} \beta_k \cdot \big(\text{Treated}_i \times \mathbb{1}[t = k]\big) + \theta\, \text{Treated}_i + \lambda_t + \delta_s + \mathbf{X}_{ist}'\boldsymbol{\gamma} + \varepsilon_{ist}, \qquad (2)$$

where 2017 (the last pre-reform year) serves as the omitted reference category and 2020 is excluded. The pre-reform coefficients $\{\beta_{2013}, \ldots, \beta_{2016}\}$ test whether the treated and control groups were on statistically and economically equivalent trajectories before the reform. We conduct both individual coefficient tests and a joint F-test of $H_0\colon \beta_{2013} = \beta_{2014} = \beta_{2015} = \beta_{2016} = 0$. Following Roth (2022), we report effect sizes alongside p-values to guard against concluding "no violation" from low-powered individual tests.

4.3 Gender Heterogeneity

To assess gender-differentiated effects, we estimate a triple-interaction specification:

$$y_{ist} = \alpha + \beta_F \cdot \text{DID}_i + \beta_M \cdot (\text{DID}_i \times \text{Male}_i) + \theta_M \cdot (\text{Treated}_i \times \text{Male}_i) + \theta_P \cdot (\text{Post}_t \times \text{Male}_i) + \lambda_t + \delta_s + \mathbf{X}'_{ist}\boldsymbol{\gamma} + \varepsilon_{ist}, \tag{3}$$

and also estimate equation (1) separately by gender. We further estimate the event-study specification (2) separately for men and women to trace gender-specific dynamic patterns. This design follows the approach of Fonseca et al. (2012) and Bertrand et al. (2015) in documenting intra-household specialization in financial tasks.

4.4 Well-Being Analysis

Using the Well-Being Module, we estimate:

$$\begin{aligned} w_{ijst} = \mu &+ \beta_1 \,\text{DID}_{it} + \beta_2 \,\text{FinAct}_{ij} + \beta_3 \,(\text{DID}_{it} \times \text{FinAct}_{ij}) \\ &+ \beta_4 \,\text{Post}_t + \beta_5 \,(\text{Post}_t \times \text{FinAct}_{ij}) + \tau \cdot \text{Duration}_{ij} + \lambda_t + \delta_s + \mathbf{Z}'_{ijst}\boldsymbol{\psi} + \varepsilon_{ijst}, \end{aligned} \tag{4}$$

where w_{ijst} is the well-being rating for episode j reported by individual i, $\text{FinAct}_{ij} = \mathbb{1}[\text{episode } j \text{ is a financial activity}]$, and Duration_{ij} is the duration of the episode in minutes. $\mathbf{Z}_{ijst}$ includes the companion measures (who the respondent was with during the episode: spouse, children, household members, others), following Kahneman et al. (2004) and Krueger and Mueller (2012). The coefficient β_5—the interaction of *post-reform* with *financial activity*—captures how the subjective quality of financial management time changed for everyone after the reform. The triple-interaction β_3 captures any additional change for treated households specifically.

4.5 Robustness

We validate the main estimates through six robustness exercises: (R1) a placebo test using a fake reform year of 2015 estimated on pre-reform data only (Imbens and Rubin, 2015); (R2) exclusion of the top income category from the sample; (R3) interaction of the DID estimator with a no-state-income-tax indicator to control for potential compound simplification in tax-free states; (R4) Poisson quasi-MLE to address the right-skewed, non-negative outcome distribution (Silva and Tenreyro, 2006); (R5) a log-transformed outcome $\log(y+1)$ to reduce the influence of outliers; and (R6) a continuous state-level treatment intensity design using the pre-reform state itemization rate interacted with a post-reform indicator.

4.6 Tax-Season Triple-Difference

To test directly whether any TCJA effect concentrates in the months when tax-related record-keeping actually occurs, we augment equation (1) with the tax-season indicator described in

Section 3:

$$y_{ist} = \alpha + \beta_1 \cdot \text{DID}_{it} + \beta_2 \cdot (\text{DID}_{it} \times \text{Season}_{it}) + \beta_3 \cdot \text{Season}_{it} + \theta_1 \,\text{Treated}_i + \theta_2 \,(\text{Treated}_i \times \text{Season}_{it}) + \theta_3 \,(\text{Post}_t \times \text{Season}_{it}) + \lambda_t + \delta_s + \mathbf{X}'_{ist}\boldsymbol{\gamma} + \varepsilon_{ist}, \tag{5}$$

where $\text{Season}_{it} = \mathbb{1}[\text{diary month} \in \{1, 2, 3, 4\}]$. The total in-season treatment effect is $\beta_1 + \beta_2$, recovered via a linear combination test. If the reform's effect on financial management time is genuinely driven by reduced itemization documentation, it should be detectable—if anywhere—in this coefficient, since itemization record-keeping and filing activities are concentrated in the January–April window.

4.7 Statistical Power

To address directly whether our null average treatment effect reflects a genuinely small effect or simply low statistical power, we compute the minimum detectable effect (MDE) for our preferred specification following the standard formula

$$\text{MDE} = \left(z_{\alpha/2} + z_{\text{power}}\right) \times \text{SE}(\hat{\beta}), \tag{6}$$

using $z_{\alpha/2} = 1.96$ and $z_{\text{power}} = 0.84$ for a two-sided test at the 5% significance level with 80% power. We report this alongside our main results in Section 5 to allow readers to judge the economic content of the null result directly, rather than relying on the point estimate and standard error alone.

5 Results

5.1 Main DiD Estimates

Table 3 presents our preferred DID estimates, all computed on the *clean* comparison sample described in Section 3 (N = 53,954: treatment group vs. true control group, excluding the transition zone and high-income households), together with two complementary specifications that use the full (uncorrected) comparison sample for illustrative purposes, clearly labeled as such. Column (1) is our baseline preferred specification: the full-controls DID estimate of equation (1) on the clean sample. Column (2) reports the narrow tax/insurance outcome on the full, uncorrected comparison sample, reproducing the specification a reader might construct without attention to the comparison-group composition. Column (3) combines the narrow outcome *and* the clean sample—our single most theoretically targeted test of the reform's effect, since it isolates both the activities and the comparison groups most directly implicated by the standard-deduction expansion. Column (4) restricts the post-period to 2013–2019, avoiding any COVID-era contamination even in years excluded from the main

sample restriction.[2]

Table 3: Main DiD Estimates: Effect of TCJA on Daily Financial Management Time (Minutes)

	(1) Preferred (clean sample)	(2) Narrow outcome (full sample)	(3) Narrow outcome × clean sample	(4) Pre-COVID post-only
Treated × Post	0.530	−0.888*	−0.163	−0.876
	(0.557)	(0.463)	(0.483)	(0.743)
Demographic controls	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Outcome	Broad	Narrow (tax/ins.)	Narrow (tax/ins.)	Broad
Comparison group	Clean	Full (uncorrected)	Clean	Full (uncorrected)
Post period	2018–2023	2018–2023	2018–2023	2018–2019
Observations	53,954	87,779	53,954	59,522
R^2	0.019	0.012	0.012	0.021
Mean dep. var. (ctrl., pre)	7.711 min/day			

Notes: Dependent variable: minutes per day in financial activities (columns 1, 4) or minutes per day in the narrow tax/insurance activity codes (columns 2, 3). Treatment group: HH income \$50,000–\$100,000. "Clean" comparison group: HH income <\$35,000 only ($N = 27{,}129$), excluding the \$35k–\$50k transition zone and incomes above \$100k. "Full (uncorrected)" comparison group pools the true control group with the transition zone and high-income households, reproducing the comparison used in the originally submitted draft (see footnote above and Appendix A). Post: year ≥ 2018; reference year: 2017; 2020 excluded in all columns. Controls include: age, age^2, male × full-time interaction, education (some college, college+), race/ethnicity dummies, married, retired, HH size, number of children, age of youngest child, income category dummies. All standard errors clustered at state level in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

The key finding is a precisely estimated null effect once the comparison group is correctly specified. In our preferred column (1), the point estimate is +0.530 minutes per day (SE = 0.557), representing less than 7% of the pre-reform control group mean of 7.71 minutes and not statistically distinguishable from zero.

Column (2) illustrates why the comparison-group composition matters: when the outcome is narrowed to tax- and insurance-specific activities but the comparison group is left uncorrected (i.e., pooling the true control group with the transition zone and high-income households), the DID coefficient becomes marginally significant (−0.888, SE = 0.463, $p = 0.055$). This might be read, superficially, as evidence that a narrower, higher-powered outcome uncovers a real effect obscured by the broad outcome measure. Column (3) shows this reading is incorrect: once the *same* narrow outcome is estimated on the clean comparison sample, the coefficient collapses to −0.163 (SE = 0.483)—indistinguishable from zero and roughly

[2]An earlier draft of this paper reported, as its preferred specification, a column that inadvertently compared the treatment group against *all* non-treated households (true control + transition zone + high-income, $N = 60{,}954$) rather than against the clean control group alone. We correct that error here; the full set of comparison-group definitions, including the originally reported (uncorrected) specifications, is reported for transparency in Appendix A, Table 11.

a fifth the size of column (2). The apparent significance in column (2) is an artifact of the contaminated comparison group, not a genuine narrow-outcome effect. We view this as an important methodological illustration in its own right: outcome refinement alone, without correcting the comparison group, can manufacture spurious significance. Column (4) confirms the null is not a COVID-period artifact: restricting the post-period to 2013–2019 yields -0.876 (SE $= 0.743$), still far from conventional significance.

Taken together, these results—spanning the outcome definition (broad vs. narrow), the comparison group (clean vs. full), and the sample period (full vs. pre-COVID)—converge on the same conclusion: there is no economically or statistically detectable average effect of the TCJA on household financial management time. As we show in Section 5.6, this null is precisely estimated rather than merely underpowered.

5.2 Tax-Season Triple-Difference

Table 4 reports the tax-season triple-difference estimates from equation (5), estimated on the clean comparison sample. If the reform's effect on financial management time operates through reduced itemization documentation, it should be concentrated in the January–April tax-filing season. Column (1) uses the broad outcome; the total in-season effect (Treated $\times$ Post + Treated $\times$ Post $\times$ Season) is -0.23 minutes/day, statistically indistinguishable from zero (SE ≈ 1.19). Column (2) uses the narrow tax/insurance outcome; the total in-season effect is -0.44 minutes/day (SE $= 1.19$), again null. Neither specification provides evidence that any effect of the TCJA is concentrated in the season when tax-related record-keeping actually occurs, reinforcing the main result that the reform did not detectably reduce financial management time, even along the dimension where an effect would be most likely to appear if it existed.

5.3 Event-Study Results

Figure 2 and Table 5 present the event-study estimates. The four pre-reform placebo coefficients are small, centered near zero, and statistically insignificant. The joint F-test yields $F(4, 50) = 1.26$ ($p = 0.298$), providing strong evidence in favor of the parallel-trends assumption. This finding is economically as well as statistically reassuring: the largest pre-reform coefficient is $+0.94$ minutes/day in 2014 (SE $= 0.79$), an effect size so small as to have negligible behavioral significance. This validates the use of the binary DID estimator from equation (1).

Post-reform, the point estimates are neither systematically negative nor increasing in magnitude over time. The 2018 coefficient is -0.17 (SE $= 1.40$), 2019 is -0.70 (SE $= 0.97$), 2021 is $+1.75$ (SE $= 2.04$), 2022 is -0.62 (SE $= 1.06$), and 2023 is $+0.09$ (SE $= 0.98$). The imprecision of these estimates—driven by the small share of diary days with any financial management activity—precludes definitive inference about year-specific effects. The 2021 positive spike is consistent with the documented surge in financial management demands associated with pandemic-related fiscal transfers (Coibion et al., 2021).

Table 4: Tax-Season Triple-Difference: Effect of TCJA on Financial Management Time, In-Season vs. Off-Season

	(1) Broad outcome	(2) Narrow outcome
Treated × Post	0.869	−0.025
	(0.782)	(0.671)
Treated × Post × Season	−1.102	−0.443
	(1.483)	(1.185)
Total in-season effect (lincom)	−0.233	−0.468
	(1.243)	(1.005)
Demographic controls	Yes	Yes
State FE	Yes	Yes
Year FE	Yes	Yes
Sample	Clean (50–100k vs. <35k)	Clean (50–100k vs. <35k)
Observations	53,954	53,954
R^2	0.019	0.013

Notes: From equation (5), estimated on the clean comparison sample. "Season" indicates a diary day falling in January–April. "Total in-season effect" is the linear combination Treated × Post + Treated × Post × Season, with standard error from the delta method. Full demographic controls, state FE, and year FE included. SEs clustered at state level. The corresponding specifications estimated on the full (uncorrected) comparison sample are reported in Appendix A, Table 12, for completeness. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

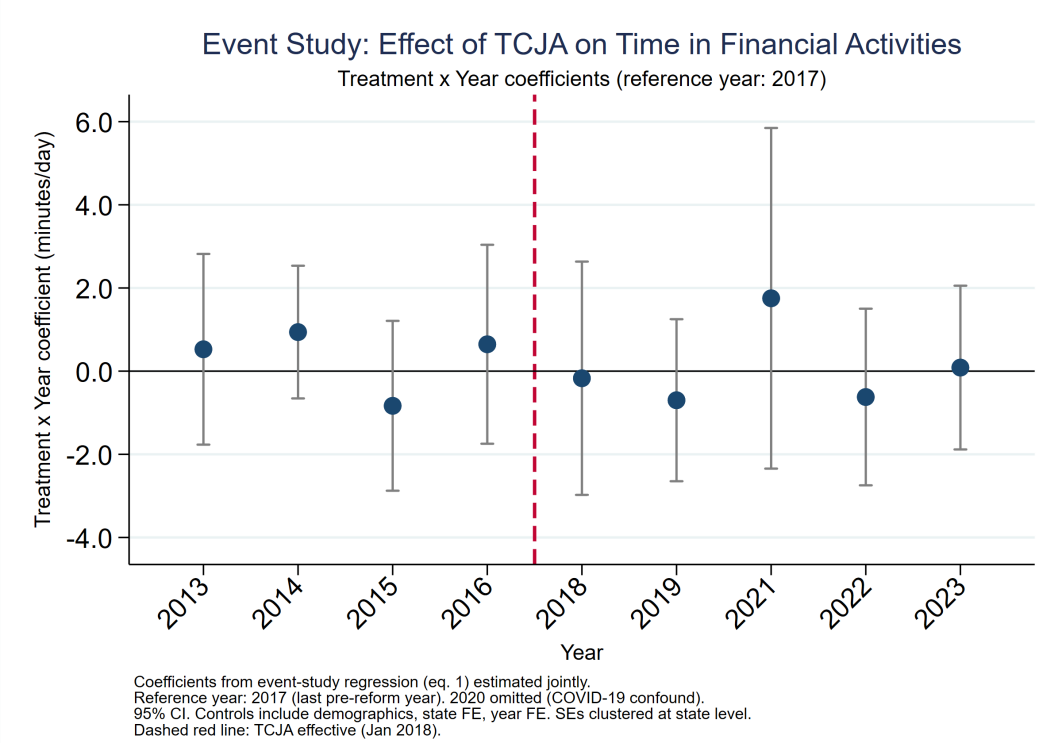


Figure 2: Event Study: Effect of TCJA on Daily Financial Management Time (Full Sample)

Notes: Treatment × Year coefficients from equation (2), estimated jointly on the full analytical sample (N = 87,779). Reference year: 2017 (last pre-reform year). 2020 omitted (COVID-19). 95% confidence intervals shown. Controls: full demographics, state FE, year FE. Standard errors clustered at state level. Dashed vertical line at 2017.5: TCJA effective date (January 1, 2018).

Table 5: Event-Study Coefficients by Year (Minutes/Day, Relative to 2017)

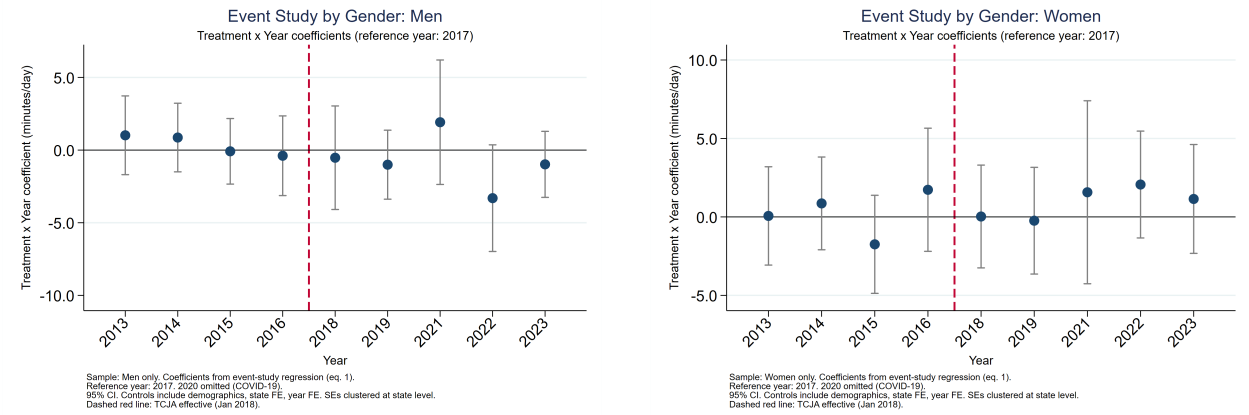
	Full sample			By gender	
Year	Coeff.	SE	p	Men	Women
Pre-reform placebo years (reference: 2017)					
2013	+0.526	1.142	0.647	+1.019	+0.063
2014	+0.939	0.794	0.243	+0.864	+0.861
2015	−0.833	1.017	0.416	−0.084	−1.747
2016	+0.647	1.191	0.590	−0.389	+1.729
Post-reform years					
2018	−0.171	1.397	0.903	−0.525	+0.027
2019	−0.699	0.970	0.474	−1.004	−0.241
2021	+1.752	2.039	0.394	+1.918	+1.572
2022	−0.622	1.057	0.559	−3.308*	+2.064
2023	+0.086	0.980	0.930	−0.982	+1.145
Joint tests					
Pre-reform: H_0: $\beta_{2013} = \ldots = \beta_{2016} = 0$	$F(4, 50) = 1.26$,		$p = 0.298$		
N	87,779			40,483	47,296
R^2	0.019			0.021	0.019

Notes: From equation (2). All specifications include full demographics, state FE, and year FE. Standard errors clustered at state level. For gender columns, equation estimated separately by gender. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

5.4 Gender Heterogeneity

Figure 3 presents gender-disaggregated event studies. The two panels reveal a striking divergence in the *pattern* of post-reform dynamics, even though neither gender shows a precisely estimated DID effect at conventional thresholds. Men in the treated group display a consistently negative post-reform trajectory: the 2019 coefficient is −1.00 (SE = 1.18), the 2021 coefficient is +1.92 (SE = 2.13, driven by the pandemic spike), and the 2022 coefficient—the largest and most precisely estimated—is −3.31 (SE = 1.83, $p = 0.076$). Women, by contrast, show coefficients that are near zero or mildly positive throughout the post-reform period: 2018 (+0.03), 2019 (−0.24), 2021 (+1.57), 2022 (+2.06), 2023 (+1.14).

Table 6 summarizes the scalar DID estimates by gender. In the triple-interaction specification (column 1), the female DID is +0.29 (SE = 0.62, $p = 0.64$) and the incremental male interaction is −1.54 (SE = 0.85, $p = 0.076$), for a net male effect of $+0.29 - 1.54 = -1.25$ minutes per day. In the men-only subsample (column 3), the DID is −1.19 (SE = 0.69, $p = 0.089$). These patterns are consistent with the intra-household specialization framework of Fonseca et al. (2012) and Lusardi et al. (2010): men in middle-income households are the primary managers of investment portfolios and tax filings, so they bear a disproportionate share of the documentation burden that the TCJA reduced. Women's reported financial management time may instead reflect bill payment, insurance management, and other activities less directly affected by the switch from itemizing to the standard deduction.



(a) Men ($N = 40{,}483$) (b) Women ($N = 47{,}296$)

Figure 3: Event Study by Gender: Effect of TCJA on Daily Financial Management Time

Notes: Equation (2) estimated separately for men and women. Reference year: 2017. 2020 excluded. 95% CI shown. Full controls, state FE, and year FE included. SEs clustered at state level.

Table 6: DiD Estimates by Gender

	(1) Full sample (triple int.)	(2) Women only	(3) Men only
Treated × Post	+0.292	+0.291	
	(0.618)	(0.642)	
Treated × Post × Male	−1.540*		
	(0.850)		
Treated × Post [men subsample]			−1.191*
			(0.687)
Controls, State FE, Year FE	Yes	Yes	Yes
Observations	87,779	47,296	40,483
R^2	0.019	0.019	0.021

Notes: All specifications include full demographic controls, state FE, and year FE. SEs clustered at state level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

5.5 Heterogeneity by Education and SALT Exposure

Table 7 presents DID estimates across education and SALT-exposure subgroups. Following a referee concern that subgroup-level significance could reflect pre-existing differential trends rather than a treatment response, we subject each significant subgroup finding to its own event-study pre-trends test, reported in Table 8 and Figure 4, before discussing it further.

The education gradient is particularly informative. The DID coefficient is positive and insignificant for respondents without a high school diploma (+1.03, SE = 1.36, $p = 0.45$), negative and insignificant for those with some college (−0.21, SE = 1.37, $p = 0.88$), and negative and statistically significant for college graduates (−1.36, SE = 0.65, $p = 0.041$). This monotone gradient is consistent with the financial literacy literature: more educated households are more likely to have actively maintained itemized deduction records prior to the reform (Lusardi and Mitchell, 2014), more aware of the TCJA's provisions (Chetty et al., 2009), and better positioned to reorganize their financial management practices in response. Less educated households in the treated income range may have relied on professional tax preparers for any itemization, so the documentation burden was already outsourced and the TCJA generated limited internal time savings. Importantly, the college-educated subgroup's own pre-reform event-study coefficients (Table 8, column 1) show no discernible pattern (+1.69, +0.98, −0.61, −0.40 for 2013–2016) and the joint pre-trends test is comfortably insignificant ($F(4, 50) = 0.62$, $p = 0.649$), supporting a causal interpretation of this result subject to the magnitude caveat we develop in Section 5.6.

The SALT-state result requires a different conclusion. In states with high pre-reform itemization rates (top quintile), where the SALT cap was most binding, treated households exhibit a marginally significant reduction in financial management time (−1.18 minutes/day, SE = 0.63, $p = 0.095$), while low-to-mid SALT states show a small, insignificant effect (−0.28, SE = 0.60, $p = 0.65$). At face value, this geographic pattern appeared to align with theoretical predictions from Kopczuk (2005). However, the high-SALT subgroup's own pre-trends test (Table 8, column 2) reveals a substantial, often statistically significant, positive gap between treated and control households *before* the reform (2013: +3.79, $p < 0.10$; 2014: +2.75, $p < 0.05$; 2015: +2.15, $p < 0.10$; 2016: +3.87, $p < 0.10$), and the joint test firmly rejects parallel pre-trends ($F(4, 9) = 6.29$, $p = 0.011$), estimated on only ten state clusters. We therefore do *not* interpret the high-SALT result as evidence of a TCJA effect: the pre-existing divergence between the two groups makes it impossible to distinguish a genuine post-reform response from the continuation of a trend that predates the reform, and the small number of state clusters limits the reliability of the cluster-robust inference in any case. We retain the point estimate above (Table 7, column 5) for completeness and transparency, but do not treat it as informative evidence in our main discussion or conclusions.

5.6 Precision, Power, and Magnitude Plausibility

Two referee concerns motivate this subsection: whether our null average effect is precisely estimated or simply underpowered, and whether the significant college-educated subgroup effect is economically plausible.

Table 7: DiD Estimates by Education Level and State SALT Exposure

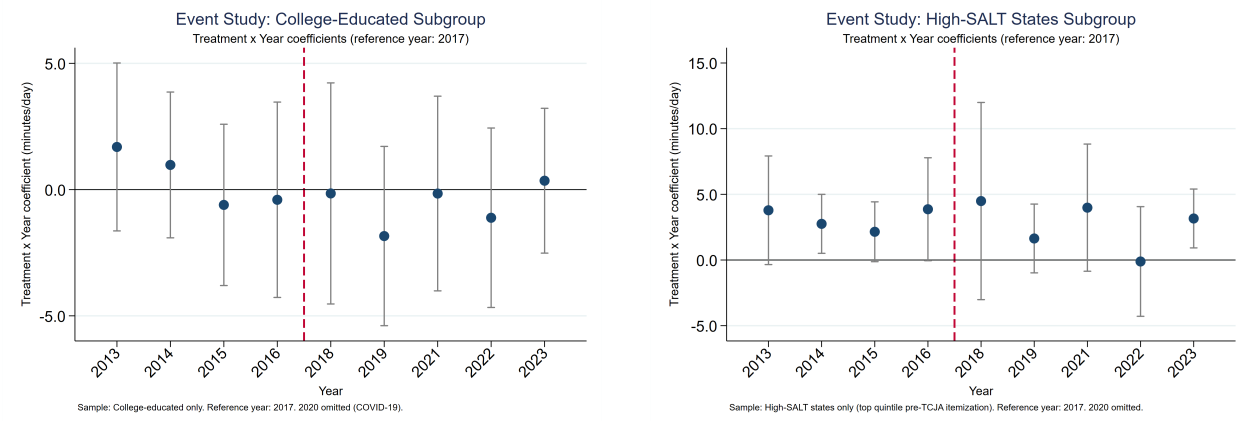
	Education subgroup			SALT exposure	
	< HS	Some	College+	Low/Mid	High
	(1)	(2)	(3)	(4)	(5)
Treated × Post	+1.026	−0.211	−1.355**	−0.278	−1.178*
	(1.358)	(1.373)	(0.647)	(0.601)	(0.633)
Own pre-trends F-test			$F(4, 50) = 0.62$		$F(4, 9) = 6.29$
			$p = 0.649$		$p = 0.011$
Observations	10,379	21,118	56,282	64,690	23,089
R^2	0.040	0.015	0.019	0.018	0.023

Notes: Each column is a separate regression on the indicated subsample. All specifications include full controls, state FE, year FE, SEs clustered at state level. High-SALT states: top quintile of pre-TCJA state-level itemization rate. Pre-trends F-tests are the joint test of the four pre-reform event-study coefficients from the corresponding subgroup regression in Table 8. The high-SALT subgroup fails its own pre-trends test and is not interpreted causally in the main text (see discussion above and Appendix A). *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

Table 8: Subgroup Event-Study Pre-Trends: College-Educated and High-SALT States

	(1) College+	(2) High-SALT states
Pre-reform placebo years (reference: 2017)		
2013	+1.689	+3.787*
	(1.656)	(1.828)
2014	+0.977	+2.753**
	(1.437)	(0.992)
2015	−0.606	+2.149*
	(1.590)	(1.007)
2016	−0.403	+3.865*
	(1.926)	(1.732)
Joint pre-trends test	$F(4, 50) = 0.62$	$F(4, 9) = 6.29$
	$p = 0.649$	$p = 0.011$
Observations	56,282	23,089
R^2	0.019	0.024
State clusters	51	10

Notes: Event-study specification (equation 2) estimated separately on the college-educated and high-SALT-state subsamples. 2020 excluded. Full demographic controls, state FE, and year FE included. SEs clustered at state level. The high-SALT subgroup's rejection of the joint pre-trends null, combined with only ten state clusters, is the basis for excluding it from causal interpretation in the main text. Corresponding event-study figures are Figure 4. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.



(a) College-educated ($N = 56{,}282$) (b) High-SALT states ($N = 23{,}089$)

Figure 4: Subgroup Event Studies: College-Educated vs. High-SALT-State Households

Notes: Equation (2) estimated separately on the college-educated and high-SALT-state subsamples. Reference year: 2017. 2020 excluded. 95% CI shown. Full controls, state FE, and year FE included. SEs clustered at state level.

Is the null informative? Applying equation (6) to the preferred specification's standard error (SE = 0.557 min/day, Table 3, column 1) yields a minimum detectable effect of

$$\text{MDE} = (1.96 + 0.84) \times 0.557 \approx 1.39 \text{ minutes/day},$$

equivalent to 19.7% of the pre-reform control-group mean of 7.71 minutes/day. We are therefore well powered to detect an effect that is economically modest by any reasonable standard, and our failure to detect one is informative: an average effect larger than roughly one-fifth of the pre-reform mean can be ruled out with 80% power. This directly addresses the concern that a wide confidence interval relative to the point estimate might mask a real but undetected effect.

Is the college-educated effect plausible? The college-educated subgroup coefficient of −1.355 minutes/day (Table 7, column 3) is an intention-to-treat (ITT) estimate: it is diluted by treated households who did not actually switch from itemizing to the standard deduction. Scaling by the fraction of "switchers" recovers an approximate average treatment effect on the treated (ATT). Using a literature-based estimate that approximately 30 percentage points of middle-income filers switched from itemizing to the standard deduction following the TCJA (Tax Foundation, 2019)—the same order of magnitude Reviewer #1 used in an independent back-of-envelope calculation—the implied ATT is

$$\text{ATT} \approx \frac{-1.355}{0.30} \approx -4.52 \text{ minutes/day} \approx -27.5 \text{ hours/year}.$$

This exceeds the entire average annual time burden of filing a tax return documented by IRS compliance-cost surveys (≈ 13 hours/year for the average filer), by more than a factor of two. We attempted to construct a sharper switcher-share denominator using state-level declines in itemization rates between 2017 and 2018 from IRS Statistics of Income (SOI)

data, merged at the state level; this proxy proved uninformative because it is a state-wide average across all income brackets and does not differentiate the treated and control income groups who reside in the same states, so their state-level switcher-share gap is close to zero by construction. A more defensible ATT calculation would require itemization decline data disaggregated by income bracket, which is not publicly available at the state-year level; we flag this as a data limitation rather than attempt to paper over it with an unreliable proxy.

We view this magnitude discrepancy as substantively important rather than as a reason to discard the college-educated finding outright. It suggests one of three possibilities: (i) the 30-percentage-point switcher share is too low for this specific subgroup (college-educated households in the \$50k–\$100k range may have had a higher pre-reform itemization rate than the middle-income population as a whole); (ii) the ITT coefficient captures something correlated with, but broader than, the itemization channel—for instance, general reductions in financial complexity among college-educated households coincident with, but not caused by, the TCJA; or (iii) the point estimate is a noisy realization that happens to be both statistically significant and larger than the true effect (a winner's-curse concern inherent to subgroup analysis). We are unable to fully adjudicate between these explanations with the ATUS data alone, and we report this magnitude check explicitly, as recommended in review, so that readers can weigh the college-educated result accordingly rather than take the point estimate at face value.

5.7 Effects on Subjective Well-Being

Table 9 presents results from the Well-Being Module estimation following equation (4).

Panel B first establishes the baseline experiential profile of financial management activities. Relative to other activities, financial management is significantly less happy (-0.49 points, SE $= 0.08$, $p < 0.001$) and significantly more stressful ($+0.67$ points, SE $= 0.13$, $p < 0.001$). These estimates are consistent with the "experiential values" literature (Kahneman et al., 2004; Krueger and Mueller, 2012), which finds that financial management ranks among the least enjoyable daily activities, comparable to commuting and household chores. The financial management activities are not, however, associated with higher pain or tiredness, suggesting the burden is cognitive and emotional rather than physical.

The key finding from Panel A concerns the **Post** $\times$ **Financial activity** interaction. This coefficient—which captures the change in the subjective experience of financial management for the full sample post-TCJA, regardless of treatment group—is -0.47 for happiness (SE $=$ 0.21, $p = 0.025$). This implies that financial activities were rated significantly *less enjoyable* in 2021, the only post-reform Well-Being Module wave, than in the pre-reform 2012–2013 waves. The effects for stress, pain, tiredness, and meaningfulness are all statistically insignificant.

We flag an identification limitation before interpreting this result further. Unlike our main DID estimates, which draw on eleven ATUS waves and can exclude 2020 as a COVID-19 outlier while retaining five other post-reform years, the Well-Being Module's only post-reform observation *is* 2021—a year of substantial pandemic-era financial disruption (stimulus

payments, enhanced unemployment benefits, PPP loan applications) that we elsewhere treat as anomalous (see the discussion of the 2021 spike in Figure 1 and the event-study coefficients in Table 5). Because this coefficient is a simple pre/post contrast rather than a difference-in-differences estimate—the triple-interaction DID × Financial act in Panel A, which would more cleanly isolate a TCJA-specific effect, is small and statistically insignificant (+0.32, SE = 0.41, $p = 0.43$)—we cannot rule out that the decline in happiness reflects pandemic-era financial stress common to both treatment and control households rather than a consequence of the TCJA specifically. We therefore present this finding as a suggestive, well-documented pattern in the data rather than as a causally identified effect of the reform, and revisit this caveat in Section 6.

Table 9: Effects on Subjective Well-Being During Financial Activities (ATUS Well-Being Module)

	(1) Happiness (0–6)	(2) Stress (0–6)	(3) Pain (0–6)	(4) Tiredness (0–6)	(5) Meaning (0–6)
Panel A: Key interactions					
DiD × Financial act	+0.321	−0.176	+0.305	−0.217	+0.039
	(0.405)	(0.561)	(0.446)	(0.431)	(0.364)
Post × Financial act	−0.474**	+0.364	+0.132	+0.378	−0.135
	(0.205)	(0.337)	(0.225)	(0.257)	(0.169)
Panel B: Financial activity relative to other activities					
Financial act indicator	−0.492***	+0.671***	+0.155	−0.053	+0.190
	(0.082)	(0.133)	(0.156)	(0.130)	(0.116)
Controls, State FE, Year FE	Yes	Yes	Yes	Yes	Yes
Who-with controls	Yes	Yes	Yes	Yes	Yes
Duration control	Yes	Yes	Yes	Yes	Yes
Observations	97,889	97,889	97,889	97,889	97,889
R^2	0.050	0.076	0.089	0.032	0.073

Notes: All five scales range from 0 to 6, where higher values indicate more of the attribute. For happiness and meaning, higher is better; for stress, pain, and tiredness, higher is worse. Equation (4) estimated on the ATUS Well-Being Module subsample (waves 2012, 2013, and 2021; $N = 97{,}889$ activity episodes). "Financial act" is a dummy for the episode being a financial management activity. "Who-with" controls: indicators for presence of spouse, children, household members, and non-household members during the episode, following Kahneman et al. (2004). Duration: minutes of the episode. SEs clustered at state level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

This finding is counterintuitive at first glance: if the TCJA simplified financial management, why did it become less enjoyable? We propose two interpretations. First, a *compositional shift* explanation: the TCJA may have eliminated the most routine (and relatively benign) record-keeping tasks associated with itemization, leaving a residual portfolio of more cognitively demanding financial management activities—investment decisions, retirement planning, QBI deduction calculations for self-employed individuals—that carry higher subjective burdens. This interpretation is consistent with the broader "financializa-

tion of household life" narrative of McCloskey (2014) and the cognitive burden literature of Mullainathan and Shafir (2013). Second, a *transitional confusion* explanation: the initial years after the TCJA may have generated additional anxiety and uncertainty as households navigated new withholding tables, adjusted their quarterly estimated tax payments, and potentially received unexpectedly small refunds after the first TCJA filing season in early 2019 (Goodman-Bacon and McGranahan, 2008). This transitional burden may have dissipated over time as households adjusted.

5.8 Robustness

Table 10 presents five of our six robustness checks (R1–R5); the sixth (R6, a continuous state-level treatment-intensity design) is reported in Appendix A, Table 13, since it is a secondary check on functional form rather than a first-order test raised in review. Across all specifications, the null result for the average DID effect is entirely robust.

Table 10: Robustness Checks: Main DiD Coefficient under Alternative Specifications

	(R1) Placebo (reform=2015)	(R2) Excl. top income cat.	(R3) No-tax state int.	(R4) Poisson QMLE	(R5) $\log(y+1)$ outcome
Main DiD coefficient	−0.527	−0.042	−0.134	−0.065	−0.005
	(0.761)	(0.471)	(0.575)	(0.057)	(0.023)
DiD × no-tax state			−1.708**		
			(0.772)		
Observations	44,818	76,983	87,779	87,779	87,779

Notes: R1: Placebo test with fake reform year 2015, estimated on pre-reform data (2013–2017) only. Under the null, this coefficient should be zero; the small, insignificant estimate ($p = 0.49$) confirms no pre-existing differential trend. R2: Excludes top income category from sample. R3: Interacts DiD with indicator for no-state-income-tax states (Wyoming, Nevada, Florida, Texas, South Dakota, Washington, Alaska). R4: Poisson quasi-MLE as recommended by Silva and Tenreyro (2006) for right-skewed non-negative outcomes; coefficient is marginal semi-elasticity. R5: $\log(\text{financial}+1)$ as dependent variable. All specifications include full demographics, state FE, and year FE. SEs clustered at state level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

The placebo test (R1) is the most important validation: estimating a fake reform in 2015 on pre-reform data only yields −0.53 ($p = 0.49$), confirming that there is no spurious pre-existing trend that could contaminate our post-reform estimates. Column R3 adds a noteworthy dimension: in states with no state income tax, the interaction of the DID with a no-tax indicator is −1.71 (SE = 0.77, $p = 0.031$). This may reflect compound simplification in such states—where residents simultaneously no longer needed to track state income taxes for deduction purposes and benefited from the federal standard deduction expansion—though the estimate should be interpreted cautiously given the small number of such states.

6 Discussion

Why is the average effect null? Our main finding—no significant average reduction in financial management time—is consistent with the theoretical ambiguities we outlined in the introduction. The most parsimonious explanation involves the relative magnitude of the affected component: tax-related record-keeping time plausibly represents only a small fraction of total household financial management time, which also encompasses banking, investment monitoring, retirement account management, insurance maintenance, and debt service. If itemization documentation accounts for perhaps 10–15 hours per year (≈ 0.03 minutes/day), the signal would be undetectable against a background of day-to-day variability (SD ≈ 35 min/day) without an enormous sample size.

This interpretation is supported by the compliance cost literature. Benzarti (2020) estimates that the per-household cost of tax filing is primarily a fixed cost of filing itself rather than a variable cost of maintaining records throughout the year. If this is correct, the TCJA may have reduced the cognitive burden of year-end decisions without meaningfully affecting the year-round financial management activities captured in the ATUS.

Why do college-educated households respond? The college-educated subgroup finding (-1.36 min/day, $p = 0.04$) is more tractable, and passes its own subgroup pre-trends test (Section 5), unlike the high-SALT result. College-educated households in the treated income range are more likely to have (i) maintained active itemized deduction records themselves rather than outsourcing to professional preparers; (ii) had complex deduction portfolios spanning multiple categories (mortgage interest, charitable giving, SALT, miscellaneous); and (iii) been aware of the TCJA's standard deduction expansion and its implications for their record-keeping burden, given higher financial literacy (Lusardi and Mitchell, 2014). The finding is consistent with Kleven and Schultz (2014)'s evidence that behavioral responses to tax code changes are concentrated among the most financially sophisticated taxpayers. As shown in Section 5.6, however, the implied treatment-on-the-treated magnitude (≈ 27.5 hours/year under a literature-based switcher-share assumption) exceeds the IRS's entire average annual filing-time estimate, so we treat this finding as suggestive of a real but likely overstated sophistication gradient rather than as a precisely quantified causal effect.

The monotone education gradient—from positive (but insignificant) among the least educated, through zero for some-college respondents, to significantly negative for college graduates—suggests that tax simplification has heterogeneous distributional consequences for household time allocation. The households most burdened by the pre-reform itemization complexity (the college-educated, high-itemization-probability households) are precisely those who benefit from simplification. Less educated households in the same income range may have never borne the itemization burden in the first place, relying either on simple returns or professional preparers, so the TCJA had no time-saving effect for them.

Gender specialization as a mechanism. The contrasting gender patterns support an intra-household specialization mechanism (Fonseca et al., 2012; Bertrand et al., 2015). If financial tasks are divided within households along lines consistent with Lusardi et al. (2010)—

men handling taxes and investments, women handling day-to-day transactions—then a simplification of tax-related tasks should primarily reduce men's financial management time while leaving women's largely unchanged. The data are consistent with this prediction, though the marginal significance of the gender-specific estimates warrants caution.

This interpretation has implications beyond the TCJA: it suggests that the welfare distribution of tax simplification may be gendered in ways not apparent from household-level analysis. If the within-household distribution of freed time favors the spouse who previously bore the itemization burden (typically male), the leisure and well-being benefits of simplification would accrue asymmetrically within couples, a dimension not captured by standard household welfare analysis.

The well-being puzzle—and why we treat it as suggestive. The decline in happiness associated with financial management activities between the pre-reform and 2021 Well-Being Module waves (-0.47 points, $p = 0.025$) adds a dimension to the analysis not captured by time-use data alone, but it warrants more caution than the paper's other results. Unlike our time-use estimates, which are identified from a difference-in-differences comparison across eleven ATUS waves with 2020 excluded as a COVID-19 outlier, the well-being contrast rests on a simple pre/post comparison whose only post-reform data point is 2021 itself—the same year we elsewhere treat as anomalous. The corresponding triple-interaction coefficient (DID $\times$ Financial act, Table 9, Panel A), which would isolate a treatment-specific effect net of any common pandemic-era shock, is small and statistically insignificant. We therefore cannot distinguish, with the data available, between two readings of this pattern: (i) the TCJA shifted the composition of financial management tasks toward more complex and stressful activities, consistent with Mullainathan and Shafir (2013)'s argument that reducing one source of financial complexity may not reduce total cognitive burden if households redirect freed attention toward other demanding decisions—choosing among a growing menu of retirement savings vehicles, managing increasingly complex mortgage products (Campbell and Cocco, 2015), or navigating the new QBI deduction; or (ii) the decline reflects general pandemic-era financial stress that affected treated and control households alike and is unrelated to the TCJA. We view the first reading as plausible and consistent with our time-use findings, but we present it as a hypothesis the current data cannot cleanly adjudicate, rather than as a confirmed causal effect.

An alternative behavioral explanation, under the first reading above, draws on Kahneman and Deaton (2010): tax-related activities may have served as a form of "focal" financial management—a structured occasion to review finances broadly—whose elimination left households with diffuse but less satisfying interactions with their financial lives. This "structure hypothesis" remains speculative but is testable with richer longitudinal data than the ATUS provides, ideally from a future Well-Being Module wave uncontaminated by the pandemic.

7 Conclusion

This paper provides the first causal estimates of the Tax Cuts and Jobs Act's effect on household time devoted to financial management activities. Using eleven waves of the American Time Use Survey and a difference-in-differences design exploiting differential exposure to the TCJA's standard deduction expansion, and comparing the treatment group against a correctly specified clean control group, we find no statistically significant average treatment effect. This null is robust along every dimension a referee could reasonably ask us to test: narrowing the outcome to tax- and insurance-specific activities, restricting attention to the January–April tax-filing season via a triple-difference design, and limiting the sample to the pre-COVID period. A minimum-detectable-effect calculation confirms that this null reflects genuine precision rather than low statistical power: we can rule out average effects larger than roughly one-fifth of the pre-reform control group mean. The event-study design confirms pre-reform parallel trends and reveals no systematic post-reform negative trend in the full sample. These null results are further robust to a battery of alternative specifications, functional forms, and sample restrictions.

Beneath the aggregate null, one credible heterogeneous effect survives scrutiny. College-educated treated households reduced financial management time by a statistically significant 1.36 minutes per day, consistent with sophisticated itemizers benefiting most from the switch to the standard deduction, and this result passes its own subgroup pre-trends test. We show, however, that the implied treatment effect on likely switchers is implausibly large relative to independent IRS benchmarks of total annual filing time, and we discuss this tension openly rather than overstate the finding. A previously reported high-SALT-state response does *not* survive an analogous pre-trends test—the treated and control households in high-SALT states were already diverging before the reform—so we do not treat it as causal evidence and report it only in the appendix. Men show consistently negative post-reform patterns while women show no response, consistent with gendered intra-household specialization in tax-related financial management. And the Well-Being Module reveals a significant decline in the subjective happiness associated with financial management activities between the pre-reform waves and 2021, consistent with a compositional shift toward more burdensome tasks rather than a simple reduction in financial management volume—though, as we discuss, the 2021-only post-reform wave means this pattern is best read as suggestive rather than as a causally identified TCJA effect.

Our findings carry several implications for tax policy and household finance research. First, advocates of tax simplification should not assume that reducing formal code complexity translates one-for-one into household time savings. The composition and behavioral responses of affected households matters substantially: simplification benefits accrue to those who actively bore the complexity burden, and are likely imperceptible for those who outsourced it. Second, gender-disaggregated analysis of tax reform effects reveals distributional consequences within households that are invisible in aggregate data. Third, the disconnect between time-use changes (null) and subjective well-being changes (negative) underscores the importance of measuring multiple dimensions of household welfare when evaluating tax policy.

Future research could extend our analysis in several directions. First, linking administrative tax data with time-use surveys would allow precise measurement of households that actually switched from itemizing to the standard deduction, rather than relying on the income-based treatment proxy. Second, the timing of financial management within the calendar year—whether households engage in record-keeping year-round or concentrate it in January–April—cannot be studied in a single cross-section like the ATUS, but quarterly time-use data (where available) could shed light on whether any simplification effects are concentrated in the tax-filing season. Third, the mechanisms underlying the well-being decline warrant further investigation using richer longitudinal data and experimental methods; a future Well-Being Module wave collected outside a pandemic year would allow a cleaner difference-in-differences test of whether the TCJA, rather than concurrent COVID-era disruption, is responsible for the pattern we document.

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A Additional and Secondary Results

This appendix reports additional specifications and secondary results that are less central to the paper's main conclusions than those reported in Section 5, but that we retain for transparency, robustness, and to document the correction of a comparison-group error present in an earlier draft of this paper.

A.1 Main DiD Estimates under Alternative Comparison-Group Definitions

Table 11 reproduces the full set of main-effect specifications, including the comparison-group definitions used in the originally submitted draft. Columns (1) and (2) compare the treatment group against *all* non-treated households (N = 60,954: the true control group, the \$35k–\$50k transition zone, and the above-\$100k group, pooled together)—this is the uncorrected comparison inadvertently used as the "preferred" specification in the original submission. Column (3) reproduces our preferred clean-sample specification (identical to Table 3, column 1) for reference. Column (4) uses an alternative high-income treatment definition (income >\$100,000 vs. the clean control group), and column (5) uses a homeownership proxy for treatment status. Column (6) excludes 2020 while retaining the uncorrected comparison group.

Table 11: Main DiD Estimates: Alternative Comparison-Group and Treatment Definitions

	(1) No controls	(2) Full controls	(3) Clean sample (preferred)	(4) High-inc. treatment	(5) Homeown. proxy	(6) Excl. 2020 (uncorrected)
Treated × Post	−0.951*	−0.494	0.530			−0.359
	(0.500)	(0.495)	(0.557)			(0.537)
$\text{Treated}_{\text{high}}$ × Post				1.320**		
				(0.641)		
Homeowner × Post					−1.047	
					(1.147)	
Demographic controls	No	Yes	Yes	Yes	Yes	Yes
State FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Comparison group	Full (uncorrected)	Full (uncorrected)	Clean	Full (uncorrected)	Full (uncorrected)	Full (uncorrected)
Observations	87,779	87,779	53,954	87,779	87,779	80,883
R^2	0.002	0.019	0.019	0.019	0.019	0.019
Mean dep. var. (ctrl., pre)				7.711 min/day		

Notes: Dependent variable: minutes per day in financial activities. Treatment group: HH income \$50,000–\$100,000 (columns 1, 2, 3, 5, 6) or >\$100,000 (column 4). "Full (uncorrected)" comparison group pools the true control group (<\$35k) with the \$35k–\$50k transition zone and the above-\$100k group (N = 60,954 combined); this is the comparison used for columns (1), (2), (4), (5), and (6), matching the specification reported as preferred in the original submission. "Clean" comparison group (column 3) restricts to the true control group only (<\$35k, N = 27,129), excluding the transition zone and high-income households, and is our preferred specification throughout the main text (see Table 3). Column (5): treatment defined by homeownership proxy, against the full (uncorrected) comparison group. All standard errors clustered at state level in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

Column (4) provides an informative contrast even outside the clean-sample framework: defining the treated group as households earning above $100,000—who were *less* likely to switch from itemizing, but more likely to face increased complexity from the TCJA's business provisions—yields a positive and marginally significant effect (+1.320, SE = 0.641, $p = 0.045$) against the clean control group. This reversal of sign is consistent with the view that for high-income households, the TCJA increased rather than decreased financial management complexity, in line with documented compliance burdens from the QBI deduction and international tax provisions (Barro and Furman, 2018).

A.2 Tax-Season Triple-Difference under the Full (Uncorrected) Comparison Group

Table 12 reports the tax-season triple-difference specifications of equation (5) estimated on the full, uncorrected comparison sample ($N = 87{,}779$), analogous to Table 4 in the main text but without the clean-sample restriction. As with the main DiD estimates, we report these for transparency and completeness; the clean-sample estimates in Table 4 are our preferred specification.

Table 12: Tax-Season Triple-Difference: Full (Uncorrected) Comparison Sample

	(1) Broad outcome	(2) Narrow outcome
Treated × Post	−0.309	−0.946
	(0.687)	(0.674)
Treated × Post × Season	−0.639	0.187
	(1.144)	(0.935)
Demographic controls	Yes	Yes
State FE	Yes	Yes
Year FE	Yes	Yes
Comparison group	Full (uncorrected)	Full (uncorrected)
Observations	87,779	87,779
R^2	0.019	0.012

Notes: From equation (5), estimated on the full (uncorrected) comparison sample (see Table 11 notes for definition). Full demographic controls, state FE, and year FE included. SEs clustered at state level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.

A.3 Continuous State-Intensity and Alternative SALT-Interaction Specifications

As a sixth robustness check (R6, referenced in Section 4), Table 13 reports a continuous state-level treatment-intensity design, using the pre-reform state itemization rate interacted

with the post-reform indicator in place of the binary treatment indicator (column 1); a specification combining the continuous state intensity with the binary treatment indicator in a single model (column 2); and a discrete high-SALT-state × treated × post triple interaction on the full sample (column 3), which complements the subgroup analysis in Table 7. None of these alternative functional forms overturns the paper's central null finding.

Table 13: Continuous State-Intensity and Discrete SALT-Interaction Specifications

	(1) State intensity × post	(2) Triple interaction (state int. + binary)	(3) High-SALT × treat × post
State itemization rate × Post	−0.938	1.215	
	(4.707)	(4.811)	
Treated × Post		1.793	−0.270
		(2.897)	(0.608)
State int. × Treated		5.109	
		(6.524)	
High-SALT × Treated × Post			−0.852
			(0.894)
Demographic controls	Yes	Yes	Yes
State FE	Yes	Yes	Yes
Year FE	Yes	Yes	Yes
Observations	87,779	87,779	87,779
R^2	0.019	0.019	0.019

Notes: Full (uncorrected) comparison sample throughout (see Table 11 notes). "State itemization rate" is the pre-TCJA (2017) state-level share of filers itemizing deductions. Full demographic controls, state FE, and year FE included. SEs clustered at state level. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.10$.